SAMPLE ARTIFACT · 07 OF 07 · README

How to Read This Package

Seven artifacts illustrating the DCAA-aligned labor distribution pipeline PhaseOne Compliance deploys for Phase I SBIR/STTR contractors preparing for Phase II pre-award audit.

Audience

This package is written for three people inside a Phase I awardee firm:

- **The Principal Investigator** — who owns Phase II readiness and will be in the audit room.
- **The CFO or Fractional Controller** — who needs to see that the accounting posture is defensible before they commit to co-signing a Phase II proposal.
- **The contracting officer's technical evaluator** — if a prospect forwards this upstream, it reads as a legitimate compliance artifact, not a marketing deck.

What this package is not

This is **not** a submission document, a sales deck, or a training dataset. It is a structural preview of what PhaseOne's pipeline produces for a representative Phase I contractor over a one-month sampling window. Every figure and every entry is synthetic. The methodology is real.

What is synthetic, what is real

Real client data in a marketing asset is a catastrophic confidentiality breach — especially in the DoD supply chain, where Phase I awardees are often working under DFARS 252.204-7012 handling requirements. The synthetic scenario below was engineered to look and behave like a real contract without being one.

Synthetic elements (fictional)

Element	Value in this package	Why synthetic
Contractor	Vantage Aerospace Systems	Fictional. No real firm of this name in DoD awards.
Contract number	N68335-26-C-0147	Format-plausible Navy SBIR number; not in SBA or DSBS databases.
Award amount	$299,786	Within 2024-2026 Phase I ceiling but not tied to any announced award.
Period of performance	Jan 15 – Jul 15, 2026	Standard 6-month Phase I; dates chosen for scenario arc.
Engineers (5)	Chen, Rodriguez, Patel, O'Brien, Volkov	All names synthetic. Roles and rates modeled on public SCA wage determinations.
Ledger (470 entries)	Generated 2026-03-24 via seeded RNG	Deterministic from a fixed seed for reproducibility.

Real elements (methodology)

Element	Source
CLIN-to-SOW mapping logic	FAR 16.202 Firm-Fixed-Price conventions
Allowability rule set (31 flags)	FAR Part 31.205 subparts
Unallowable cost segregation	FAR 31.201-6, DCAA CAM §7-1000
Indirect vs. direct classification	FAR 31.201-4 allocability criteria
Labor distribution format	DCAA Pre-Award Accounting System Survey (SF-1408)
Wage-determination labor categories	Service Contract Act conformance
Audit-trail preservation	DCAA CAM §5-909 contemporaneous-evidence standard
CSV export schema	Matches fields requested in typical incurred-cost submission

Translation: the *data* is fictional so no real client is exposed. The *rules* — how entries are classified, cited, and segregated — are the rules PhaseOne's production pipeline applies to real clients.

Map of the package

The seven artifacts are designed to be read in any order, but there is a recommended sequence for evaluators who want to replicate how a Phase II pre-award reviewer would approach them.

#	Artifact	What it shows	Read it when
01	Monthly Executive Summary (PDF)	One-page KPI view: compliant hours, unallowable flags, CLIN burn.	You need the 5-minute version.
02	SF-1408 Gap Assessment (PDF)	Line-by-line pre-award accounting-system readiness posture.	You want to know whether this passes the Form 1408 check.
03	Weekly Pre-Auditor Report (PDF)	7-rule scan output: what the AI would flag before DCAA does.	You want to see what gets caught, and how early.
04	Slack Workflow Examples (PDF)	4 real-shape before/after translations with FAR citations.	You want to understand the mechanism, not just the output.
05	Phase II Readiness Score (PDF)	Composite readiness metric + 30-day action plan.	You are planning the Phase II proposal timeline.
06	DCAA Compliance Ledger (HTML)	470 filterable entries — the Audit Vault as auditors see it.	You want to interrogate the raw data shape.
07	README / Methodology (this doc)	Framing, synthetic vs. real, regulatory basis, next step.	You are already reading it.

Suggested reading order

For the PI: 01 → 05 → 02 → 04 → 03 → 06. Start with executive posture, then readiness, then the gap assessment, then the mechanism, then the weekly diligence artifact, then the raw data.

For the CFO: 02 → 06 → 01 → 03. Form 1408 first (because that is the audit-posture question), then the raw ledger (to verify data integrity), then rollup, then the weekly control.

For the technical evaluator: 04 → 03 → 06 → 02. You will care about the translation mechanism and the raw data more than the summary.

Regulatory basis

PhaseOne's translation layer operates against seven primary regulatory sources. Every entry committed to the Audit Vault carries a citation back to the specific section under which it was classified.

Source	What it governs
FAR Part 31.2	Contract cost principles — direct, indirect, allowable, reasonable
FAR 31.205 (subparts)	Specific unallowable cost categories (entertainment, lobbying, etc.)
FAR 42.709	Penalties for unallowable costs billed to the Government
DFARS 252.204-7012	Covered defense information handling — applies to data on engineers, etc.
DCAA Contract Audit Manual §5-909	Labor floor-check evidence — contemporaneous-record standard
DCAA Contract Audit Manual §6-606	Indirect-cost audit procedures
DCAA Contract Audit Manual §7-1000	Unallowable-cost audit procedures
SF-1408	Pre-award accounting-system adequacy survey (10 criteria)

The 48-hour deployment posture

PhaseOne is deployed inside the contractor's existing Slack workspace in two calendar days. The full sequence:

Day	Activity	Deliverable
0	Intake call (30 min)	SOW review, CLIN inventory, engineer roster, wage-determination confirmation
1 AM	Private Slack channel provisioned	#phaseone-labor-log invite sent to named engineers; bot authorized
1 PM	CLIN/SOW mapping configured in n8n	Custom translation ruleset deployed for the contractor's specific awards
2 AM	Audit Vault (Airtable) base cloned	Dedicated per-client base; DCAA Compliance Ledger table seeded
2 PM	First 5 engineers onboarded; go-live	First real entries logging inside 24 hours; first weekly report in 7 days

Comparison: the reference Phase II competitor (Deltek Costpoint) is a $50K+ license with a 4-8 month implementation window. For a 3-10 person engineering team that has already spent the Phase I award on engineering, this is not a viable path. PhaseOne is $2,000 or $3,500 one-time + $597/mo.

How to evaluate before a call

If you are deciding whether to take a 15-minute audit call, these are the questions worth answering from the package alone:

#	Question	Artifact that answers it
1	Does the translation actually read like a DCAA description?	04 — Slack Workflow Examples
2	Does the ledger preserve a contemporaneous audit trail?	06 — DCAA Compliance Ledger (HTML)
3	Are unallowable costs properly segregated?	04 Ex. 3 + 03 — Weekly Pre-Auditor Report
4	Is the indirect vs. direct classification defensible?	04 Ex. 2 + 02 — SF-1408 Gap Assessment
5	Will the CSV export stand up in pre-award audit?	06 — Compliance Ledger, filter by CLIN
6	What does the 30-day action plan look like from here?	05 — Phase II Readiness Score
7	Is this enough to pass a Form 1408 accounting-system survey?	02 — SF-1408 Gap Assessment (line-by-line)

What happens on the 15-minute audit call

It is called an audit call because that is what it is — we run a structured diagnostic against your current Phase I documentation and return a written posture assessment at the end of the conversation. No slide deck. No sales pitch. If your current pipeline is adequate, we will say so. If it is not, we will tell you specifically what is missing and how long it would take to correct — with or without us.

Next step: Return to the landing page (phaseonecompliance.com) and book a 15-minute audit via the Calendly link. Or take the Readiness Score diagnostic first — it is a 4-minute Tally form that gives you a weighted score against the 10 SF-1408 criteria before you commit to a call.

Questions on the methodology

Technical or regulatory questions on anything in this package can be raised directly in the 15-minute call. We do not have a phone support line — the point of the product is that the pipeline does not require one.